SECTION A

QUESTION 1

Users	Purpose
Management	Making routine decisions and controlling operations
Internal auditor	Confirmed the management system and the financial system of a company comply with accounting standards.
Investors / Potential Investors	To know the company's profitability and the amount of dividends paid out to shareholders To decide whether to buy more shares or dispose the shares they have
Creditors (Suppliers & bankers)	Assess the ability of the business to repay the loan
Lembaga Hasil Dalam Negeri	To determine the amount of tax to be collected by them.

QUESTION 2

(i) Going concern
(ii) Historical cost
(iii) Full disclosure @ materiality

QUESTION 3

2 other methods in inventory evaluation are:
- Last in first out (LIFO)
- Average Method (Weighted average @ Moving average)

The method that will show great profits during inflation is the First in First out (FIFO) method. This is because as prices rise, the final inventory value will comprise the highest value, resulting in the cost of goods sold to be lower and consequently will report higher profits than other methods.

QUESTION 4

Current liabilities
- liabilities /obligations that need to be settled within less than one year
- Example: Accounts payable, Short-term Notes payable, Warranty liabilities

Non-current liabilities
- liabilities/obligations that need to be settled after a year or more.
- Example: Long-term Loans, Bonds payable, Long-term Notes payable

SECTION B

QUESTION 1

Iskandariah Sdn. Bhd
Bank Reconciliation Statement
as at 31 March 2015

		RM	RM
Cash balance per bank statement			6,644
(+) Deposits in transit:			
	Najib		750
			7,394
(-) Outstanding cheques:			
	Cheque no. 89093		(300)
Adjusted cash balance per bank			7,094
Cash balance per books			6,207
(+)	Credit transfer	542	
	Interest revenue	245	
	Accounts receivable – Abu (1,500 – 1,050)	450	
	Accounts receivable – Sabariah (100 + 100)	200	1,437
			7,644
(-)	Debit transfer	465	
	Cheque book charges	5	
	Bank charges	80	(550)
Adjusted cash balance per books			7,094

QUESTION 2

(i)

Date	Particular	Debit	Credit
Ogos 1	Dr. Vehicle	35,000	
	Accumulated depreciation	22,000	
	Cr. Vehicle		30,000
	Cash (35,000 – 8,800)		26,200
	Gain on disposal[8,800 – (30,000 – 22,000)]		800
	(to record disposal of vehicle and gain on disposal)		

(ii)

Mac 31	Dr. Depreciation expense - Vehicle	16,333.33	
	Cr. Accumulated depreciation - Vehicle		16,333.33
	(to record depreciation on vehicle)		
	New vehicle: 10% x 35,000 x 8/12 = 2,333.33		
	Old vehicle: 10% x (170,000 – 30,000) = 14,000		
	Total = 16,333.33		

Vehicle (170,000 – 30,000 + 35,000)	RM175,000
(-) Accumulated depreciation – Vehicle (88,000 – 22,000 + 1,000* + 16,333.33)	(83,333.33)
Net book value	**RM91,666.67**

* 10% x 30,000 x 4/12

(iii)

Accounts Receivable

Balance b/d	76,500	Cash	107,000
Sales	155,000	Bad debts expense	5,000
		Balance c/d	119,500
	231,500		231,500

Allowance for Doubtful Debt

Balance c/d (1.5% x 119,500)	**1,792.50**	Bad debts expense	1,792.50
	1,792.50		1,792.50

QUESTION 3

(i)

Cash

Balance b/f	500	Drawings (200 x 52)	10,400
Sales	159,000	Miscellaneous expenses	4,000
Accounts Receivable	11,200	Bank (Contra)	155,800
		Balance c/f	500
	170,700		170,700

Bank

Balance b/f	27,000	Salaries expense	12,000
Cash (Contra)	155,800	Accounts Payable	100,000
		Utilities expense	3,000
		Balance c/f	67,800
	182,800		182,800

(ii)

Ali Enterprise
Statement of Comprehensive Income
For the year ended 28 February 2015

Sales [159,000 + (11,200 + 7,000 – 4,300)]			RM172,900
(-) Cost of goods sold:			
Beginning inventory		10,000	
Purchase (100,000 + 24,630 – 56,260)	68,370		
(-) Drawings	(600)		
Cost of goods purchased		67,770	
Cost of goods available for sale		77,770	
(-) Ending inventory		(8,000)	
Cost of goods sold			69,770
Gross profit			103,130
(-) Operating expenses:			
Salaries expense		12,000	
Depreciation expense – Vehicle (20% x 120,000)		24,000	
Depreciation expense – Furniture (10% x 12,000)		1,200	
Depreciation expense – Office equipment (15% x 10,000)		1,500	
Utilities expense		3,000	
Miscellaneous expenses		4,000	
Total operating expenses			(45,700)
Net Income			**57,430**